EXECUTIVE SUMMARY

Business Insights

1. Technology is the strongest product category

Technology generated 4.74 million in sales and 663.78K in profit. It also recorded the highest profit margin at 13.99%. This shows that Technology contributes the most to both sales and profit among the three product categories.

2. The Consumer segment contributes the largest share of sales

The Consumer segment accounts for 51.48% of total sales, followed by Corporate at 30.25% and Home Office at 18.27%. This means that individual consumers are the largest customer group by sales contribution.

3. Central is the strongest region in sales and profit

Central generated 2.82 million in sales and 311.40K in profit, making it the leading region in both measures. This suggests that the business should continue monitoring what drives its performance and consider whether successful practices can be applied in other regions.

4. Monthly sales generally increased from 2011 to 2014

The monthly sales trend shows growth over the four-year period. For example, January sales increased from 98,898.49 in 2011 to 241,268.56 in 2014. November 2014 recorded 555,279.03 in sales, the highest monthly figure among the values reviewed.

5. Furniture generates substantial sales but has a lower profit margin.

Furniture generated 4.11 million in sales and 285.20K in profit, with a profit margin of 6.94%. This is considerably lower than Technology at 13.99% and Office Supplies at 13.69%. The business should investigate the factors affecting Furniture profitability.

Business Risks

1. Low profitability in the Furniture category

Furniture has the lowest profit margin at 6.94%, despite generating 4.11 million in sales. If this continues, the business may generate substantial revenue without earning a comparable level of profit.

2. Losses in Southeast Asia's Furniture category

The matrix shows that Furniture in Southeast Asia generated 313,386.70 in sales but recorded a loss of 7,269.77. If this issue continues, it could reduce the overall profitability of the region.

3. Dependence on the Consumer segment

The Consumer segment contributes 51.48% of total sales. Although this is a strong contribution, relying heavily on one segment could expose the business to changes in that group's buying behaviour. The business should continue developing its Corporate and Home Office customer segments.

Business Opportunities

1. Expand sales of profitable Technology products

Technology generated the highest category profit at 663.78K and the highest profit margin at 13.99%. Management could identify the products driving these results and explore ways to increase sales while maintaining profitability.

2. Grow Corporate and Home Office sales

Corporate and Home Office contribute 30.25% and 18.27% of sales respectively. The business could explore targeted offers and customer-retention activities to increase purchases from these segments.

3. Improve performance in regions with weaker results

Central generated 311.40K in profit, while Southeast Asia generated only 17.85K despite sales of approximately 884.42K. Management has an opportunity to investigate differences in product mix, discounting and costs to identify ways to improve profitability in weaker-performing regions.

Business Recommendations

1. Review pricing and costs in the Furniture category.

Management should review Furniture pricing, discounts, product costs and shipping expenses to understand why its profit margin is only 6.94%, compared with 13.99% for Technology. The aim should be to improve profitability without unnecessarily reducing sales.
Supporting insight: Furniture generated 4.11 million in sales but only 285.20K in profit.

2. Investigate the loss recorded in Southeast Asia's Furniture category

Management should examine the products, discounts and costs associated with Furniture sales in Southeast Asia. Products that consistently make losses should be reviewed to determine whether their prices or costs need to be adjusted.
Supporting insight: The category recorded 313,386.70 in sales and a loss of 7,269.77.

3. Build on the performance of the Technology category.

Management should identify the Technology products contributing most to sales and profit, maintain suitable stock levels for those products, and consider targeted promotions where they are likely to improve profitable sales.
Supporting insight: Technology generated 4.74 million in sales, 663.78K in profit and a 13.99% profit margin. The Canon imageCLASS 2200 Advanced Copier was the most profitable product in the Top 10 list, with profit of approximately 25.20K.

4. Develop strategies to grow Corporate and Home Office sales

The business should explore targeted offers, business-customer relationships and repeat-purchase incentives for Corporate and Home Office customers. Their performance should be monitored to determine whether these activities increase sales and profit.
Supporting insight: Corporate accounts for 30.25% of sales, while Home Office accounts for 18.27%, compared with 51.48% for Consumer.

5. Investigate the factors behind regional differences in profitability

Management should compare product-category performance, discounting and costs across regions, paying particular attention to Southeast Asia. Successful practices identified in Central, the leading region in sales and profit, can then be assessed for use in other regions.

Supporting insight: Central generated 2.82 million in sales and 311.40K in profit, while Southeast Asia generated approximately 884.42K in sales but only 17.85K in profit overall.

6. Plan ahead for periods of high sales

Management should use the monthly sales trend to support inventory and staffing decisions ahead of busier periods. Stock levels should be based on demand patterns and product performance to reduce the risk of stock shortages or excess inventory.

Supporting insight: Sales were generally higher toward the end of the year, and November 2014 recorded 555,279.03 in sales.

Conclusion

The dashboard shows that the business is generating substantial sales and overall profit, with Technology and the Central region making strong contributions. However, Furniture profitability and the losses recorded in Southeast Asia require further investigation. By reviewing costs, supporting profitable products, developing customer segments and using sales trends for planning, management can make better-informed decisions.